NOTE 10 – INCOME TAX

As of June 30, 2018, and 2017, the Company has net operating loss carry forwards of $4,594,669 and $3,196,453, respectively. The carry forwards expire through the year 2038. The Company's net operating loss carry forwards may be subject to annual limitations, which could reduce or defer the utilization of the losses as a result of an ownership change as defined in Section 382 of the Internal Revenue Code.

The Company's tax expense differs from the "expected" tax expense for Federal income tax purposes (computed by applying the United States Federal tax rate of 21% to loss before taxes for year 2018 and 34% to loss before taxes for fiscal year 2017), as follows:

	For the Years Ended June 30,	
	2018	2017
Tax expense (benefit) at the statutory rate	$ 972,021	$ (309,621)
State income taxes, net of federal income tax benefit	–	(134)
Change in valuation allowance	(972,021)	309,755
Total	$ –	$ –

The tax effects of the temporary differences between reportable financial statement income and taxable income are recognized as deferred tax assets and liabilities.

The tax years 2014 through 2018 remain subject to examination by federal agencies and other jurisdictions in which it operates.

The tax effect of significant components of the Company's deferred tax assets and liabilities at June 30, 2018 and 2017, respectively, are as follows:

	June 30,	
	2018	2017
Deferred tax assets:		
Net operating loss carryforward	$ 1,398,216	$ 1,073,183
Timing differences	906,968	908,366
Total gross deferred tax assets	2,305,184	1,981,549
Less: Deferred tax asset valuation allowance	(2,305,184)	(1,981,549)
Total net deferred taxes	$ –	$ –

In assessing the realizability of deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities, projected future taxable income and tax planning strategies in making this assessment.

Because of the historical earnings history of the Company, the net deferred tax assets for 2018 were fully offset by a 100% valuation allowance. The valuation allowance for the remaining net deferred tax assets was $2,305,184 and $1,981,549 as of June 30, 2018 and 2017, respectively.